Question Bank MSE

1. Explain the concept of accounting and its objectives.
2. Describe the fundamental principles of the double-entry system.
3. Explain the importance of maintaining books of accounts in business.
4. Differentiate between journal and ledger with examples.
5. Explain the purpose of preparing a trial balance.
6. Discuss the importance of financial statements for business decision-making.
7. Explain the 3 statements prepared for final accounts.
8. Describe the significance of interpreting financial statements.
9. Explain in detail – 'Trading & Profit and Loss Account' Also discuss the differentiating points between them.
10. Analyze the importance of financial statements in evaluating business performance.
11. Distinguish between capital and revenue expenditure with examples.
12. Analyze Differences between Book-keeping and Accounting.
13. Examine the causes of errors in trial balance preparation.
14. Analyze the role of accounting conventions in maintaining consistency.
15. Interpret financial statements to assess profitability and liquidity.
16. Analyze the role of a Balance Sheet in interpreting the financial position of a business. Explain how assets and liabilities help in assessing financial stability.
17. Analyze the structure of financial statements and their components.
18. Compare traditional accounting practices with accounting standards.
19. Analyze the Satyam fraud case and its effect on corporate governance.
20. Explain in detail the types of accounts into which they are classified with Golden rules of Accounting.

* Calculate Contribution, EBIT, PBT, and PAT from the following data:

- Sales = ₹40,000
- Variable Cost = ₹22,000
- Fixed Cost = ₹8,000
- Interest = ₹3,000
- Tax Rate = 35%

* Calculate Contribution, EBIT, PBT, and PAT from the following data:

- Sales = ₹45,000
- Variable Cost = ₹25,000
- Fixed Cost = ₹9,000
- Interest = ₹3,500

- Tax Rate = 35%

* Differentiate As Credit and Debit from the given data:

a)	Opening stock	25000/-
b)	Cash in hand	10000/-
c)	Cash at bank	120000/-
d)	Purchases	81000/-
e)	Purchase returns	1000/-
f)	Salaries paid	20000/-
g)	Rent paid	10000/-
h)	Machinery	90000/-
i)	Capital	100000/-
j)	Sales	150000/-
k)	Creditors	45000/-
l)	Bank loan	60000/-

* Prepare a Trial Balance from the following balances:

a) Opening Stock – ₹22,000
b) Cash in Hand – ₹6,000
c) Cash at Bank – ₹45,000
d) Purchases – ₹30,000
e) Purchase Returns – ₹1,000
f) Salaries – ₹8,000
g) Rent – ₹3,000
h) Machinery – ₹25,000
i) Capital – ₹60,000
j) Sales – ₹50,000
k) Creditors – ₹12,000
l) Bank Loan – ₹5,000